

THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
Israel 2023



THE OECD TAX-BENEFIT DATABASE FOR ISRAEL

Description of policy rules for 2023

OECD contact: Eliza-Jane Pearsall, Jobs and Income Division, Directorate for Employment, Labour and Social Affairs. Email: Tax-Benefit.Models@oecd.org

National team: Rivka Azulay (coordinator); Contributors: Avi Lavon (Deputy General Director, State Revenue Administration, Office of the Chief Economist, Ministry of Finance), Michaela Asulin (Research and Planning administration, NII), Yoav Azulay (Director of Economics and Statistics Department, Economics and Budgeting Administration, Israel's Ministry of Education), Livnat Gavrielov (Economics and Budgeting Administration, Israel's Ministry of Education).

This version: September 2024

This work is published on the responsibility of the Director of the OECD Directorate for Employment, Labour and Social Affairs. The opinions expressed and arguments employed herein do not necessarily reflect the official views of the Organisation or of the governments of its member countries.

This document and any map included herein are without prejudice to the status of or sovereignty over any territory, to the delimitation of international frontiers and boundaries and to the name of any territory, city or area.

You can copy, download or print OECD content for your own use, and you can include excerpts from OECD publications, databases and multimedia products in your own documents, presentations, blogs, websites and teaching materials, provided that suitable acknowledgment of the source and copyright owner is given. All requests for public or commercial use and translation rights should be submitted to rights@oecd.org. Requests for permission to photocopy portions of this material for public or commercial use shall be addressed directly to the Copyright Clearance Center (CCC) at info@copyright.com or the Centre français d'exploitation du droit de copie (CFC) at contact@cfcopies.com.

Table of contents

Preface	4
The OECD tax-benefit model for Israel: Policy rules in 2023	1
1. Reference wages	1
2. Unemployment benefits	1
2.1. Unemployment benefit (דמי אבטלה (יומיים))	1
2.2. Unemployment assistance	4
3. Social assistance and housing benefits	5
3.1. Income support benefit (הגמלה להבטחת הכנסה)	5
3.2. Rental assistance (דירה בשכר סיוע)	8
4. Family benefits	12
4.1. Child allowance (קצבת ילדים)	12
4.2. Study grant (מענק לימודים)	13
5. Net costs of Early Childhood Education and Care	14
5.1. Gross childcare fees	14
5.2. Child-care benefits for formal centre-based care	15
5.3. Childcare allowance for children not using child care centers	17
5.4. Tax concessions for childcare expenditures	17
6. In-work benefits	17
6.1. Earned income tax credit	17
7. Social security contributions and payroll taxes	18
7.1. Employee social security contributions	19
7.2. Employer social security contributions	19
7.3. Contributions to private pensions	19
8. Taxes	20
8.1. Personal income tax	20
9. Selected output from the OECD tax-benefit model (TaxBEN)	21
Annex I: Other benefits and direct taxes	24
Unemployment benefit for persons in vocational training (דמי אבטלה למשתתף בהכשרה מקצועית)	24
Unemployment benefit for demobilized soldier (דמי אבטלה לחייל משוחרר)	24
Public housing benefit (ציבורי דור)	24
Hospitalisation grant (מענק אישפוז)	25
Birth grant (מענק לידה)	25
Child birth allowance (קצבת לידה)	25
Child saving account	25
Maternity allowance and vacation pay (דמי לידה)	26
Risk pregnancy benefit (קצבה לשמירת הריון)	26
Payroll taxes	27
Child tax credit – additional details on credit points	27
Childcare services: Tuition fees applicable in private facilities (as of September 2020)	27
Childcare services: Tuition fees applicable in family homes (as of September 2020)	28

Preface

This report provides a detailed description of the tax and benefit rules in Israel as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **January 1, 2023**.
- The TaxBEN models all policies in effect on the reference date. This includes temporary policies implemented in response to the **Covid-19 pandemic**.
- The symbol ⓘ in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**.

The OECD tax-benefit model for Israel: Policy rules in 2023

1. Reference wages

The national currency of Israel is the New Israeli Shekel (ILS).

Average wage **[AW]**: The OECD tax-benefit model uses Secretariat estimates of the average full-time wage (available [here](#)).¹ If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth² to the latest available wage estimate.

The minimum wage **[MIN]** as of 1 January 2023 is ILS 5,300 per month (ILS 28.49 per hour based in 186 hours per week or ILS 29.12 per hour based on 182 hours per week). As of 1 April 2023 the minimum wage is 5,571.75 ILS per month (ILS 29.96 per hour based in 186 hours per week or ILS 30.61 per hour based on 182 hours per week). This increase is not captured in the TaxBEN model for 2023 as it was not in place on the reference date. In the model, the annual minimum wage is computed by multiplying the minimum monthly wage (as of 1 January 2023) by 12, i.e. $ILS\ 5,300 * 12 = ILS\ 63,600$ (multiplying the minimum hourly wage by 186 hours and by 12 months gives the same result, i.e. $ILS\ 28.49 * 186 * 12 = ILS\ 63,600$).

2. Unemployment benefits

There is a monthly unemployment insurance benefit (described in Section 2.1) as well as grants given to special groups:

- Person working at low wages (see Section 2.1.7);
- Person in vocational training (not covered in TaxBEN, see Annex);
- Person working at unsuitable work (not covered in TaxBEN, see Annex);
- Demobilized soldier (not covered in TaxBEN, see Annex).

There is no unemployment assistance benefit.

2.1. Unemployment benefit (דמי אבטלה (יומיות))

Variable names:³ **[UB; UL_p; UL_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and taxable. 

¹ Average Wages are estimated by the Centre for Tax Policy and Administration at the OECD. For more information on methodology see the latest Taxing Wages publication.

² Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

³ The variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse.

2.1.1. Eligibility conditions

Age: People from 20 years old to retirement age (currently 67) are eligible. Special rules apply to 15-18 year-olds who took part in vocational training (not covered in TaxBEN).

Contribution/employment history: Unemployment benefit qualifying period is 12 work months for which insurance contribution were paid out of the 18 months prior to determining date⁴. Due to the war, as of 7/10/23 and up to 31/12/23 qualifying period is 6 work months out of 18 months (not modelled in TaxBEN, as the policy was not in place on the reference date).

The qualifying period for minors (age 15-18) is 100 days for which insurance contributions were paid out of the 360 days prior to the determining date.

Behavioural requirements and related eligibility conditions:  A person must be registered at the labour exchange as lacking work, and being ready and able to work at any suitable work (and the labour exchange has not offered such work to the person). A waiting period of 90 days (not modelled in TaxBEN) must be served if voluntarily unemployed (e.g. resignation). TaxBEN assumes that these compulsory conditions are satisfied when simulating unemployment benefits.⁵

2.1.2. Benefit amount

The benefit is calculated on the basis of daily average wage of the unemployed person during the last 150 workdays of qualification period. In 2023, benefit amounts are⁶:

Gross salary subject to insurance contributions (ILS)		Unemployment Benefit, for those aged 28 or over			Unemployment Benefit, for those below the age of 28		
Monthly	Daily	per day (ILS)	per month based on 25 days (ILS)	as % of salary	per day (ILS)	per month based on 25 days (ILS)	as % of salary
3 000	120	96	2 400	80	72	1 800	60
4 000	160	128	3 200	80	96	2 400	60
5,000	200	157	3925	79	118	2950	59
6 000	240	177	4425	74	134	3350	56
7 000	280	197	4925	70	150	3750	54
8 000	320	215.25	5391	67	164.25	4106	51
9 000	360	233.25	5831	65	178.25	4456	50
10 000	400	248.25	6206	62	190.25	4756	48
11 000	440	260.25	6506	59	200.25	5006	46
12 000	480	272.25	6806	57	210.25	5256	44
13 000	520	284.25	7106	55	220.25	5506	42
14 000	560	296.25	7406	53	230.25	5756	41
15 000	600	308.25	7706	51	240.25	6006	40

⁴ The 1st of the month in which the unemployment period began.

⁵ Details on behavioural requirements and sanction provisions for unemployment benefits are reported at <https://www.oecd.org/social/strictness-benefit-eligibility.htm>

⁶ The TaxBEN model applies the indicated percent of salary to calculate unemployment benefit amounts.

16 000	640	320.25	8006	50	250.25	6256	39
17 000	680	332.25	8306	49	260.25	6506	38
18 000	720	344.25	8606	48	270.25	6756	38
19 000	760	356.25	8906	47	280.25	7006	37
20 000	800	368.25	9206	46	290.25	7256	36
28 880	1155.2	474.8	11870	41			
38 455					474.8	11870	31

For the first 125 days of payment in the unemployment year, the daily unemployment benefit may not exceed the daily average wage (ILS 474.80 in 2023). Beginning with the 126th day of payment, the daily unemployment benefit shall not exceed 2/3 of the daily average wage (316.53 in 2023). For unemployed women born in 1960 or later, beginning with the 176th day of payment, the daily unemployment benefit shall not exceed 1.46% of the monthly average wage (173.30 in 2023).

2.1.3. Benefit duration

For a person with less than 3 dependents:

- 50 days for an unemployed person under 25.
- 67 days for an unemployed person aged 25 to 28;
- 100 days for the unemployed person aged 28 to 35;
- 138 days for an unemployed person aged 35 to 45;
- 175 days for an unemployed person aged 45 or over.
- 300 days for unemployed women born in 1960 or later at age 57 or over.

For a person with at least 3 dependents:

- 138 days for an unemployed person under 35;
- 175 days for an unemployed person aged 35 or over.
- 300 days for unemployed women born in 1960 or later at age 57 or over.

Within a 4-year period, an unemployed person under the age of 40 shall not be paid an unemployment benefit for a period exceeding 180% of the maximum period to which he is entitled. The rate of the unemployment benefit for additional period (beyond 100% of the maximum period) shall not be over 85% of the maximum daily unemployment benefit (not covered in TaxBEN). Unemployment benefit is not paid for the first five unemployment days in each period of four consecutive months from the determining date (not covered in TaxBEN). Due to the war, as of 7/10/23 and up to 31/12/23 the benefit was paid for the first five unemployment days (see box on page 6).

2.1.4. Means test

The benefit is not means-tested.

2.1.5. Tax treatment

The benefit is taxable at the same rates as income from work.

National Insurance is deducted from this benefit at the minimum rate of ILS 27 per month (as of 1 January 2023).

Health insurance is deducted from this benefit at a rate equivalent to that deducted from income from work.

2.1.6. *Interactions with other components of the tax-benefit system*

For a person receiving an old-age pension, the entire pension is deducted from the unemployment benefit due to him (not covered in TaxBEN). Unemployment benefit is considered as earnings from work which includes a disregarded amount and reduction rate beyond the disregarded sum.

2.1.7. *Combining benefit receipt and employment/starting a new job*

A claim is valid for one year⁷, and the days of unemployment can be used during this year with no need for a new claim. Each new claim must accumulate a re-qualifying period.

There is a special benefit for unemployed persons who start working at low wages (i.e. lower than the unemployment benefit due to them). In order to be eligible to this benefit a person must have worked at this work for at least 25 days and have not used up the maximum period of payment of unemployment benefit. The benefit is calculated for every day at the rate of the difference between the actual wage and 75% of the wage, which served as the basis for calculating the unemployment benefit. The grant is paid for the maximum period of 150 work days, in 2 payments: the first after 75 work days and the second after every additional 25 work days.

2.1.8. *Indexation*

Benefit amounts are indexed annually on 1 January in line with the average wage.

2.2. *Unemployment assistance*

OECD note: in many OECD countries, jobseekers who do not qualify for Unemployment Insurance (UI – Section 2.1), or whose entitlement to UI is low or have expired, can claim Unemployment Assistance (UA – this section) and/or Social Assistance benefits (SA – Section 3). UA and SA benefits have different purposes (and reach different target groups). For instance, while the main purpose of UA is to encourage the labour market reintegration of jobseekers who have exhausted or are not eligible to the standard UI benefit, the purpose of SA programmes is to provide an acceptable standard of living for families unable to earn sufficient incomes from other sources. Conditions for UA typically include requirements to register with the public employment service and participate in active job search in a similar way as for UI. This is *not always* the case for SA benefits, for which low income is the key entitlement criterion and activation requirements exist only for those who are capable of work.

Based on this definition, Israel does not currently provide a national Unemployment Assistance programme. Nevertheless, Israel does provide a Social Assistance programme (described in Section 3.1).

⁷ 18 months for women born after 1960

War measures (Not currently implemented in TaxBEN model)

The government has implemented a number of measures to help workers during the war. These measures apply 7/10/23 to 31/12/23, including:

- Unemployment benefits can be claimed after employment for the least 6 months, from 18 months previously. For persons with disability – 3 months out of 18 months.
- An unpaid leave initiated by the employer of 14 days was sufficient (instead of 30 days) and vacation days were have to be used prior to the benefit.
- Within a 4-year period, an unemployed person under the age of 40 who used up all the entitled days, could have additional days up to 31.12.23
- An unemployed person who was evicted from home due to the war and used up all the entitled days or the year of entitlement ended, could continue receiving the benefit.
- Unemployment benefit was paid for the first five unemployment days in a new claim.
- Employers were relived of paying social security for employees that were given unpaid leave.

In addition, new grants related to unemployment were implemented and paid:

- A grants to encourage employment/re-entry to the job market for people who were evicted from their homes or lost the jobs in the area of the war <https://www.btl.gov.il/English%20Homepage/Updates-security-situation/Pages/MankIdodHB.aspx>
- A grant to encourage employment in agriculture or construction. <https://www.btl.gov.il/English%20Homepage/Updates-security-situation/Pages/MankIdodHB.aspx>
- A grant for people 67 or over who lost their job or were given unpaid leave due to the war. (7/10/23-31/12/23).

As these measures were not in place on the reference date, they are not included in the TaxBEN model for 2023.

3. Social assistance and housing benefits

The main benefit to insure means of subsistence to those Israeli residents who cannot earn a living on their own is income support benefit (covered in Section 3.1.). There are also two housing benefits: public housing benefit (not covered in TaxBEN but further details in the Annex) and Rental Assistance (covered in Section 3.2).

3.1. Income support benefit (הגמלה להבטחת הכנסה)

Variable names: **[SA]**

This is a non-contributory benefit, means-tested and not taxable.

3.1.1. Eligibility conditions

- Continuity of residence: Israeli resident for 24 consecutive months preceding the submission of claim⁸;
- Aged 20 and over⁹;
- The incomes of claimant and spouse are lower than the minimum level determined in the law;
- Registered as unemployed and reporting to Employment Service about job search. The reporting requirement to the Employment Service applies to the claimant and his spouse. There are persons exempt from the requirement, e.g. a mother of a child up to two years old. 

3.1.2. Benefit amount

The income support benefit has a number of rates. Each rate can be paid fully (*income support*) or partially (*income supplement*). Listed below are the various benefit rates as a percentage of the basic amount for income support (ILS 9,493 in 2023).

For those under the age of 55:

- | | |
|-------------------------------------|--------|
| • Single individual: | 20.0%; |
| • Couple without children: | 27.5%; |
| • Couple with one child: | 30.0%; |
| • Couple with two or more children: | 33.5%. |

Higher rates may apply if an increased rate has been granted in December 2002 (not covered in TaxBEN).

For those under the age of 25:

- The benefit rate is 80% of the rates listed above (if not defined as one of the exceptions in the law).
- Young persons under the age of 20 are entitled to the benefit as one of the exceptions set down in the law, such as a parent of a child in his custody, or pregnant and not living with parents provided that one of them receives an income support benefit, an orphan or a child without familial support (not covered in TaxBEN).
- Persons at the age of 18 or over are eligible if they lack the capacity to work due to illness, are released prisoners, prisoners working at service jobs, persons in severe distress (not covered in TaxBEN).

For those aged 55 or over up to retirement age:

- | | |
|-------------------------------------|--------|
| • Single individual: | 25.0%; |
| • Couple without children: | 37.5%; |
| • Couple with one child: | 43.5%; |
| • Couple with two or more children: | 49.5%. |

For single parents, separated persons and widows (not entitled to survivors benefits):

⁸ There are persons who might be exempt from the requirement, e.g. a person who receives an old age pension.

⁹ There are persons who might be exempt from the requirement, e.g. a person who is learning in the "Ulpan" (a school for new immigrants)

- under the age of 55:
 - with one child: 33.5%;
 - with two or more children: 39.0%.
- for those aged 55 or over up to retirement age:
 - with one child: 42.5%;
 - with two or more children: 52.5%;
 - → to both rates aged 55 or over a reduction of one child allowance special basic amount applies for income support (ILS 153, see Section 4.1).

Other special groups include immigrants, orphans or children without familial support, relatives of deceased (not covered in TaxBEN).

3.1.3. *Benefit duration*

The benefit is paid monthly for an unlimited time, as long as the conditions of entitlement to benefit are fulfilled.

3.1.4. *Means test*

Income test

The benefit is income-tested as described in Section 3.1.7.

Asset test

No information provided.

3.1.5. *Tax treatment*

Health insurance is deducted from this benefit at the minimum rate of ILS 112 per month (as of 1 January 2023).

3.1.6. *Interaction with other components of the tax-benefit system*

For purposes of the income support benefit, the amounts of alimony or child support are deducted from the amount of the income of a person who pays alimony or child support under a court judgment to a partner or child not living with the person. However, the deducted amount may not exceed the income support benefit of the person according to the family composition.

3.1.7. *Combining benefit receipt and employment/starting a new job*

In the income test for entitlement to the income support benefit, the amount of income (from work and pension) not considered as income in 2023 is:

- ILS 594 for an individual under age 55;
- ILS 831 for a person under age 55 with dependents;
- ILS 1543 for an individual aged 55 or over;
- ILS 2018 for a person aged 55 or over with dependents.
- Above this income, the benefit is decreased by one ILS for every ILS of income from pension (100%) and by 70% for singles and couples without children below age 55 (67.5% for couples with one child; 62.5% for couples with two or more children; 25% for single parents up to 4013 ILS and 60% above it; and 60% for those aged 55 or over) of income from work.

As a result, the maximum income from work that still entitles one to the minimum benefit is:

For those under the age of 55:

- ILS 3307 for a single;
- ILS 4561 for a couple;
- ILS 5050 for a couple with one child;
- ILS 5919 for a couple with two or more children;
- ILS 7987 for a lone parent with one child;
- ILS 8857 for a lone parent with two or more children.

For those aged 55 or over:

- ILS 4511 for a single;
- ILS 6469 for a couple;
- ILS 7181 for a couple with one child;
- ILS 8047 for a couple with two or more children;
- ILS 9652 for a single parent with one child;
- ILS 11233 for a single parent with two or more children.

3.1.8. Indexation

Benefit amounts are indexed every year on 1 January in line with the annual change in the consumer price index (CPI) for November.

3.2. *Rental assistance* (דירה בשכר סיוע)

In January 2014 the Public Housing Law (1998) has been modified coming into effect from 1 January 2013 for the following 5 years. In June 2014 the rental assistance was extended to all areas including small locality.

Rental assistance is a non-contributory benefit, means-tested and not taxable.

Code in the OECD tax-benefit model: [\[HB\]](#)

The reference date for policies described in this chapter is 1 January 2023.

3.2.1. Eligibility conditions

The benefit is subject to a "credit system" which ranks eligibility for housing benefit (credit points of entitlement). The following persons are eligible:

- An individual or a family, who do not share partial or complete rights to an accommodation - existing or in building process in the last 10 years;
- Exploitation of earning capacity- At least one spouse works full-time or is provided income support via an unemployment benefit.

1. Eligibility for working individuals depends on:

- size locality (not modelled in TaxBEN)
- marital status and number of children
- level of income
- residency area (not modelled in TaxBEN)

2. Eligibility according to income support unemployment benefit depends on:

- Age
- Marital status and number of children
- Recipient's disability benefit (not modelled in TaxBEN)

There is also special treatment of particular groups (not modelled in TaxBEN), including:

- New immigrants
- Career soldiers who settle in the Negev
- Homeless
- Inmates liberated
- Battered Women
- Expelled beating men

3.2.2. *Benefit amount*

The benefit is calculated according to several parameters:

- Area of residence: those who do not live in priority development area are entitled to larger benefits in accordance with higher rents required in these areas;
- Family situation (couples, single parents, singles);
- Age (relevant only for singles);
- Number of children;
- Income test (for families with at least one parent working full-time whose total family income is low);
- Eligibility to certain benefits (e.g. disability benefit, of at least 75% and an income support benefit);
- An increased rate of 10% is given to holocaust survivors, Second World War veterans or victims of the Chernobyl nuclear reactor disaster (*not covered by the model*).

The table below shows the amount ranges for household types when receiving Income support benefit. The ranges refer to the minimum and maximum benefits amounts for each category across localities. These include: assistance amounts in localities in National Priority Area A and B in major localities or small communities. And assistance amounts in localities that are not a national priority area in large or small communities. (TaxBEN models the maximum amounts)¹⁰ :

¹⁰ For more details, see:

https://www.gov.il/he/Departments/Guides/rental_assistance_amounts?chapterIndex=4

Category	Amount 2023, (ILS)
Individuals Aged 55+ receiving income supplement benefit	370-580
Couples with no children	550-850
<u>Lone parents or couples with children:</u> – Up to 3 children (incl.) – 4 children or more	760 - 1,170 950-1,470
<u>Old citizens (men aged 67, and women aged 62):</u> Individuals Individual living with relative couples Couples living with relative Couples with children Couples with children living with relative	 1,079 – 1,365 961 – 1,143 1,329 – 1,740 1,183 – 1,447 1,687 – 2,130 1,483 – 1,747

In the TaxBEN model the highest possible benefit amounts are applied (i.e. the upper bound).

The table below shows the amount ranges for household types when employed by income test. Salary data is taken from the National Insurance Institute and updated once a year. Assistance is provided to households whose full-time salary is below the listed income threshold. Households receive an amount according to their locality (TaxBEN models the maximum amounts):

Category	Amount, (ILS)	Full time salary (ILS)
Couples with no children	340 - 850	6,546
Couples with one child	480 - 1170	7,181
Couples with 2-3 children (incl)	480 - 1170	8,745
Couples with 4 children or more	600 - 1470	8,745
Lone parents or couples with children – Up to 3 children (incl.) – 4 children or more	480 - 1170 600 - 1470	11,541 11,541

Other categories not currently modelled in TaxBEN:

Category	Amount, (ILS)
<u>Waiting for public house:</u>	
Individual	600 - 1,644
Family or lone parents with 1-3 children	1,850 - 3,100
Family or lone parents with 4 children or more	2,400 - 3,900
Individual - A disabled confined	1,850 - 3,100
couple without children- A disabled confined	2,400 - 3,900
<u>Handicapped -disability benefit of at least 75% and an income support benefit.</u>	
Individual	490 - 770
Couples without children	670 - 1,040
Family or lone parent with 1-3 children	850 - 1,310
Family or lone parent with 4 children or more	1,060 - 1,640

Treatment of particular groups:

- New immigrants, Career soldiers who settle in the Negev, homeless, liberated inmates, battered women, expelled beating men (*not covered in the tables*).

3.2.3. Benefit duration

Maximum duration is 1 year.

3.2.4. Means test

Households must meet an income test, depending on their situation (income test thresholds are those in place on 1 January 2023):

- At least one spouse works full-time, provided that their income does not fall below the minimum wage.
- The gross monthly income of both spouses does not exceed the salary limit described in Section 3.2.2.

3.2.5. Tax treatment

Benefits are not taxable and there are no tax benefits.

3.2.6. Interaction with other components of the tax-benefit system

Benefits are not taxable and there are no tax benefits.

3.2.7. Combining benefit receipt and employment/starting a new job

Not benefitted.

3.2.8. Indexation

No information.

4. Family benefits

4.1. Child allowance (קצבת ילדים)

Variable names: **[FB; FB_I; FB_supp]**

This is a contributory benefit, though only the employer pays contributions as a part of National Insurance contributions (see section 7.2.).¹¹ It is not means-tested and not taxable.

4.1.1. Eligibility conditions

An insured parent can receive a monthly allowance for children under the age of 18, living in Israel and not married.

An insured person who is the legal guardian or supports a child who is not his for at least 12 months is also eligible (not covered in TaxBEN).

An increment to child allowance is paid to large families (i.e. families with three or more children) that receive a subsistence benefit (e.g. income support, alimony, old age with income supplement, or survivors with income supplement).

4.1.2. Benefit amount

The benefit is paid at the following rates in 2023:

- For the first child – the basic amount for child allowance (ILS 164);
- For the 2nd, 3rd and 4th child – ILS 207;
- For the 5th and each additional child – ILS 164 (not covered in TaxBEN).

Increment to child allowance:

An additional increment to child allowance is paid to those households receiving income support (i.e. social assistance) for the third and fourth child in the family. It is 70% of the special basic amount (i.e. ILS 0.7*153 or ILS 107) for each child.¹²

4.1.3. Benefit duration

The benefit is paid monthly as long as the eligibility conditions hold.

4.1.4. Means test

The benefit is not means-tested.

4.1.5. Tax treatment

The benefit is not taxable.

4.1.6. Interaction with other components of the tax-benefit system

Not applicable.

¹¹ In 2021 the employer paid child allowance contributions of 1.32% for the reduced rate and 2.08% for the full rate.

¹² There is a special basic amount for benefits based on the income support law. See:

<https://www.btl.gov.il/English%20Homepage/Mediniyut/GeneralInformation/Pages/Basicamount.aspx>

4.1.7. *Combining benefit receipt and employment/starting a new job*

Not applicable.

4.1.8. *Indexation*

Benefit amounts are indexed every year on 1 January in line with the annual change in the consumer price index (CPI) for November.

4.2. *Study grant (מענק לימודים)*

Variable names: **[FB; FB_stud]**

This is a non-contributory benefit, not means-tested and not taxable.

4.2.1. *Eligibility conditions*

Study grant is paid for every child between the age of 6 and up to 17 years in entitled families at the beginning of the school year. The following families are entitled to the grant:

- A single-parent family;
- A family with 4 or more children that receives income support (see Section 3.1);
- A child orphaned from both parents (not covered in TaxBEN);
- An orphaned child or a child with no familial support (not covered in TaxBEN);
- A child who immigrated to Israel without an insured parent (not covered in TaxBEN);
- A woman residing in a shelter for battered woman (not covered in TaxBEN);
- A person who receives an income support benefit separately from his/her spouse (not covered in TaxBEN).

4.2.2. *Benefit amount*

The grant is 11.6% of the basic amount for income support (which is ILS 9493 in 2023).

4.2.3. *Benefit duration*

The benefit is paid at the beginning of the school year, as long as eligibility conditions hold.

4.2.4. *Means test*

Not means-tested.

4.2.5. *Tax treatment*

Non-taxable.

4.2.6. *Interaction with other components of the tax-benefit system*

Not applicable.

4.2.7. *Combining benefit receipt and employment/starting a new job*

Not applicable.

4.2.8. Indexation

Benefit amounts are a portion of the basic amount for income support (see Section 3.1) and are thus indexed every year on 1 January in line with the annual change in the consumer price index (CPI) for November.

5. Net costs of Early Childhood Education and Care

The **reference date** for the policy rules described in this section is **January 1, 2023**.

The Free Compulsory Education Law to children from the age of five established in 1969 that the state would provide free education, which became a "compulsory kindergarten".

According to the decision of the Israeli government, the state provides free education from the beginning of the 2012/13 school year (i.e. 27 August 2012) for pre-school children aged 3-4 in the public kindergartens.

The Ministry of Education also participates in salary payments of local authorities' kindergartens. Kindergartens for children aged 3-5 are eligible. Also, recognized non-official kindergartens are eligible.

5.1. Gross childcare fees

Variable names: [\[ILcc_cost\]](#)

The TaxBEN model considers public kindergartens. For children aged 3-4, this education is provided free of charge. For children below the age of 3, parents pay fees depending on their income and household composition (see Section 5.2). The TaxBEN model uses the maximum monthly fee as the gross cost.

In 2023, the gross monthly fee is:

Maximum monthly price in non-profit childcare centre:¹³

Ages	Basic Regulation (modelled in TaxBEN)	Extended Regulation ¹⁴ (not modelled in TaxBEN)
Up to 15 months	3,203	3,620
Over 15 months and up to 24 months	2,464	2,667
Over 24 months and up to 36 months	2,151	2,357
Over 36 months	0	0

5.1.1. Discounts for part-time usage

There is no reduction in the monthly fee for children attending public kindergartens on a part time basis.

¹³ In Israel, the regulation determines the maximum monthly price of childcare for both daycare centres classified as non-profit and for-profit. TaxBEN only considers the use case for daycare centres classified as non-profit.

¹⁴ Basic normality is the existing regulation for the ratio between educators and number of children. This is the case considered in TaxBEN. Extended normality refers to the improved standard for the ratio between educators and number of children.

5.2. Child-care benefits for formal centre-based care

Variable names: [\[cc_benefit\]](#)

As of the year 2012/13, the State of Israel provides free education to children aged 3-4 and studying in public kindergartens. Below the age of 3, parents pay fees dependent on their income and household composition.

The government subsidizes parents for the day care costs of children aged 3 months to 3 years.¹⁵ In addition, childcare services can be provided in family homes or private facilities, which are also subsidised and regulated by the government. TaxBEN models non-profit childcare services, which are described below. The rules on family homes and private facilities providing childcare is described in the Annex.¹⁶

5.2.1. Eligibility

A mother who has a child who is provided childcare services by either a daycare center or in the family home, and her spouse meets the specified conditions (outlined in section 5.2.2 below) in the tests for providing support from the Ministry of Labor, Social Affairs and Social Services, the Daycare Department.¹⁷

Single parent families and same-sex couples who meet the specified conditions in the tests for providing support from the Ministry of Labor, Social Affairs and Social Services, the Daycare Department.

5.2.2. Benefit amount

Eligible households will be entitled, according to the above, to tests for the Ministry of Labor's support for the State's participation in the cost of holding the child or his children, as the case may be, in day care centers or in the family. The table below outlines the costs and government subsidies for various income thresholds and circumstances.

Note that per capita income is calculated as the taxable income of the parents (earnings and unemployment benefits) divided by the number of parents and children in the household up to the age of 18.

Table of tuition fees in an institution which is not a non-profit institution for September 2023:

¹⁵ Additional information is available here: <https://www.gov.il/he/departments/guides/tuition-daycare-and-supervised-nurseries?chapterIndex=3>

¹⁶ For more information, see the following link: <https://employment.molsa.gov.il/Employment/DayCareCenters/Pages/MeonotYom.aspx>

¹⁷ More details on the specific conditions are outlined here: https://www.gov.il/BlobFolder/rfp/daycare-subsidies-2019-2020/he/daycare-subsidies_2019-2020.pdf

Level	Per capita income	Infant (3 – 15 months)		Toddler (15 months –<24 months)		24 months and older	
		Government contribution	Parental contribution	Government contribution	Parental contribution	Government contribution	Parental contribution
3	0-2,100	2267	1129	1703	910	1371	910
4	2,101-2,600	2029	1367	1537	1076	1205	1076
5	2,601-3,000	1773	1623	1334	1279	1002	1279
6	3,001-3,500	1690	1706	1277	1336	945	1336
7	3,501-4,000	1433	1963	1110	1503	778	1503
8	4,001-4,400	1268	2128	960	1653	628	1653
9	4,401-4,900	1124	2272	856	1757	524	1757
10	4,901-5,300	1022	2374	762	1851	430	1851
11	5,301-6,000	0	3396	0	2613	0	2281
12	above 6,000	0	3396	0	2613	0	2281
14	Level 3 with 2 children	2367	1029	1803	810	1471	810
15	Level 3 with 3+ children	2467	929	1903	710	1571	710

The income-based level assessed is modified in the following circumstances:

- In the case of couples, the level of government participation is influenced by the number of hours worked by the mother. If they work 36 hours or more, there is no modification to the income test. Between 32 and 35 hours of work per week, 1 level is added to the income test. Between 28 and 31 hours worked per week, 2 levels are added. Between 24 and 27 hours per week, 3 levels are added.
- Families with three or more children will be provided with a level of government participation at level 5 or less (depending on the income test).
- Households with more than one child in day care will have one level removed from their assessment (minimum Level 3 which may be adjusted to Level 14 or 15 depending on the number of children attending childcare).

5.2.3. Benefit duration

The benefit is given to children who were at the beginning of the school year between the ages of 3 months and up to 32 months

5.2.4. Means test

The government's level of participation is determined at the period of registration according to the qualifying conditions and the household's per capita income (outlined in the table above).

5.2.5. Tax treatment

Not subject to taxation

5.2.6. Interaction with other benefits

There is no interaction with other benefits

5.2.7. Combining benefit receipt and employment/starting a new job

Not applicable.

5.3. *Childcare allowance for children not using child care centers*

None.

5.4. *Tax concessions for childcare expenditures*

There are no tax benefits for childcare expenditures. Instead working parents of young age children (up to 5 years old) are entitled to a universal tax credit (see Section 8.1.4).

6. In-work benefits

6.1. *Earned income tax credit*

A non-wastable earned income tax credit (EITC) was implemented in 2008 in selected geographical areas of Israel covering 15% of the population. The tax credit was extended to all areas of Israel in 2012 (based on the earnings in 2011 and therefore we already included it in the 2011 version of the model). For mothers of children up to the age of 2 and for single parents the full coverage started in 2011 (based on earnings in 2010).

Variable names: [IW](#); [NIT_p](#); [NIT_s](#)

6.1.1. *Eligibility conditions*

Entitlement to this credit is established based on earnings in the previous year.

6.1.2. *Benefit amount*

Under the law, workers aged 23 or more who are parents of one or two children aged less than 18 (or workers aged 55 or more even without children), and earn at least ILS 2,240 per month (ILS 26,880 per year; about 40% per cent of the minimum wage) are eligible to a monthly payment of ILS 90. Above that level, the benefit increases by 16.1% to reach ILS 360 at the income level of ILS 3,900. The benefit stays unchanged up to an income level of ILS 5,200 and then decreases by 23.0% to reach ILS 30 at the income level of ILS 6,635. There is no benefit above that income.

Monthly Income		EITC rate		EITC Range	
From	To	ILS	%	From	To
0	2,240	0	0%	0	0
2,240	3,900	90	16.1%	90	360
3,900	5,200	0	0.0%	360	360
5,200	6,635	0	-23%	360	30

Similarly, the maximum benefit for a parent of 3 or more children is ILS 520:

Monthly Income		EITC rate		EITC Range	
From	To	ILS	%	From	To
0	2,240	0	0%	0	0
2,240	3,900	130	23.5%	130	520
3,900	5,200	0	0.0%	520	520
5,200	7,286	0	-23.5%	520	30

Since 2016, single parents are eligible for the EITC for a wider income range – from ILS 1,380 per month (ILS 16,560 per year in 2023) to ILS 10,252 per month (ILS 123,024 per year; for a single parent of 1-2 children) or ILS 12,480 per month (ILS

149,760 per year; for a single parents of 3 or more children) and with lower phase-in and phase-out rates.

The phase-in and phase-out rates in 2023 are as follows:

	Two-parent family		One-parent family (since 2017)	
	1-2 children	3+ children	1-2 children	3+children
Phase-in rate	16.1%	23.5%	10.8%	15.5%
Phase-out rate	23.0%	23.5%	11.6%	11.6%

Since 2013 (based on earnings in 2012), these sums were increased by 50% for working mothers (and fathers in one-parent family).

A temporary measure (for earnings in 2018 only) expanded the 50% bonus to all working fathers and furthermore added a bonus of 30% for families where both parents work full-time. This was included in the TaxBEN model for 2018.

Families in which both parents work, and their joint income does not exceed ILS 12,990 per month (ILS 155 880 per year) are entitled to these benefits for each wage-earner. The grant is paid four times a year directly into the account of the eligible persons.

6.1.3. *Benefit duration*

As long as eligibility conditions hold.

6.1.4. *Means test*

The amount of the credit depends on the level of earned income.

6.1.5. *Tax treatment*

Not subject to taxation.

6.1.6. *Interaction with other components of the tax-benefit system*

No interaction.

6.1.7. *Combining benefit receipt*

No additional information

6.1.8. *Indexation*

Every year on the 1st of January, the monetary values are indexed to the change in the CPI during the preceding year.

7. Social security contributions and payroll taxes

Social security contributions are made up of National Insurance and Health Insurance. The rates paid by employees and employers are applied in two brackets:

- A reduced rate is applied for income up to a level of 60% of the average wage per employee (ILS 7,122 per month in 2023).
- A full rate is applied for income exceeding 60% of the average wage per employee and up to a level of around 5 times the basic amount (ILS 47,465 per month (ILS 569,580 per year) in 2023).

7.1. Employee social security contributions

Variable names: [SOCSEC_p; SOECSEC_s; SSC_NAT_p; SSC_HLTH_p; SSC_NAT_s; SSC_HLTH_s]

The taxable base for social security insurance contributions paid by employees is the total amount of the gross wage or salary including fringe benefits. The assessment period is the calendar month. The effective employees' contribution rates in 2023 are as follows:

Insurance branch	Full rate contribution (%)	Reduced rate contribution (%)
Total for National Insurance branches	7.00	0.40
Health	5.00	3.10
Total contributions	12.00	3.50

The minimum rate of national insurance contributions for a recipient of unemployment benefits is ILS 27 per month (as of 1 January 2023).

A person who does not work and has no income pays the minimum health insurance contribution at the amount of ILS 112 per month.

7.2. Employer social security contributions

Variable names: [SSCR_general_p; SSCR_general_s]

Social security insurance contributions are also paid by employers on behalf of their employees. Employers pay only National Insurance contributions (and not health insurance). The employers' contribution rates in 2023 are as follows:

Insurance branch	Full rate contribution (%)	Reduced rate contribution (%)
Total for National Insurance branches	7.60	3.55
Health	-	-
Total contributions	7.60	3.55

7.3. Contributions to private pensions

Variable names: [NTCP_ee_p; NTCP_ee_s; NTCP_er_p; NTCP_er_s]

In 2008, a compulsory employment pension was introduced for employees with a period of employment of at least 6 months. The minimum rate of contributions is 18.5% of the employee's salary in 2023 up to the level of ILS 11,870 per month (ILS 142,440 per year). About one third is paid by the employee and two thirds by the employer. These contributions are included in the non-tax compulsory payments (NTCP) calculations in TaxBEN.¹⁸

¹⁸ NTCPs refer to compulsory payments made by employers or employees in connection with the employees' labour activity that do not qualify as taxes and social security contributions. See [the "Associated paper: non-tax compulsory payments" to the latest OECD Taxing Wages report](#) for more details on NTCPs.

8. Taxes

In general, spouses are taxed separately on their earned income, subject to the condition that its sources are independent. Since 2014, spouses could still be taxed separately, even in cases where their earned income is deemed to be interdependent. (*In the model it is assumed that spouses earn income independently*). There are no regional or local income taxes.

8.1. Personal income tax

Variable names: [\[IT; INCTAX_p; INCTAX_s\]](#)

8.1.1. Tax allowances

There are no tax allowances in Israel. For tax credits see Section 8.1.4.

8.1.2. Tax base

All benefits considered in the model, except for unemployment insurance benefit, are not taxable. In the model, tax base consists of employment income and unemployment benefits.

8.1.3. Income tax schedule

Every year on the 1st of January, the monetary values of the tax brackets and the credit point are indexed to the change in the CPI during the preceding year.

The tax schedule for earned income in 2023 is as follows:

Tax rate	Taxable income
(%)	(ILS per year)
10	0 – 81 480
14	81 480 – 116 760
20	116 760 – 187 440
31	187 440 – 260 520
35	260 520 – 542 160
47	542 160 – 698 280
50	Above 698 280

8.1.4. Tax credits

Variable names: [\[WTC_p; WTC_s\]](#)

In 2023, each credit point is ILS 2,820.

Several of the tax credits below depend on the gender of the worker. The TaxBEN model does not allow for specifying genders. In line with the TaxBEN methodology, single parents and secondary earners in couples are assumed to be women. All other adults are assumed to be men.

Basic credit:

Every resident taxpayer is entitled to 2.25 credit points (ILS 6,345 in 2023).

Additional credit for women:

Women are entitled to a further half credit point (ILS 1,410 in 2023).

Child tax credit:

In 2023, working mothers (and fathers in one parent families) are entitled to 1.5 credit points per child under 1, 2.5 credit points per child aged 1 to 5, 2 credit points per child aged 6-12, 1 credit point per child aged 13-17 and 0.5 credit point per child aged 18.

In 2023, working fathers are entitled to 1.5 credit points per child under 1, 2.5 credit points per child aged 1 to 5 and 1 credit point per child aged 6-12.

A detailed overview of credit points for the child tax credit, including previous years, can be found in the Annex.

Single parent tax credit:

Single parents (both mothers and fathers) are entitled to one additional credit point (ILS 2,820 in 2023).

Other tax credits:

Other tax credits (not covered in TaxBEN) are granted for contributions to approved pension schemes; living in certain development areas or conflict zones; to new immigrants; to discharged soldiers and graduates of academic studies.

There is also **Earned Income Tax Credit**, classified in the model as in-work benefit (see Section 6.1).

9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Israel in 2023 (see figure below). TaxBEN by default produces the following output: 1) net household incomes (**black line**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (users are free to select many of these circumstances). The model and the related web calculator is accessible from the [project website](#). The figure below shows output for a two-adult family with two children (adults are both 40 years old whereas children are 4 and 6 years old respectively) and four different scenarios:

By percentage of the average wage (**Panel A**);

By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);

By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);

By previous employment record (in months), for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas show the following household income components: **GROSS** = gross earnings; **UB** = unemployment benefits; **SA** = social assistance / guaranteed minimum income benefits; **HB** = housing benefits; **FB** = family benefits; **IW** = in-work benefits; **SSC** = social security contributions; **IT** = income tax. Note that these components may be the result of the aggregation of more than one benefit/tax into a composite category. Please refer to the sections above for the benefits/taxes included in each category.

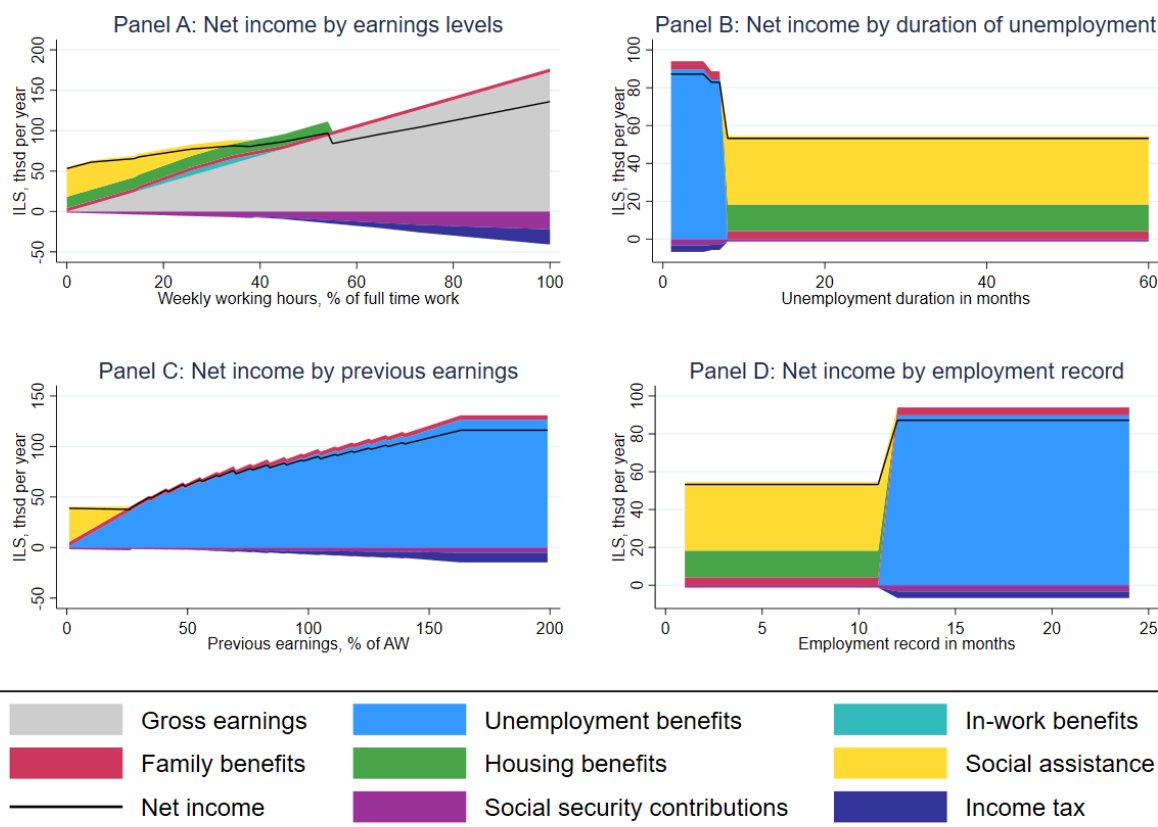
Social assistance and housing benefit supplements are assumed to be available in all the four scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

Panel A assumes that one adult family member (the so-called ‘second adult’ using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (the so-called ‘first adult’) is employed full-time throughout the entire year at different earnings levels ranging between 0 and 200% of the average wage (AW). When earnings of the first adult are precisely 0% of the AW this person is assumed to be out of work without receiving unemployment benefits (again, e.g. because they have expired) but claiming social assistance or guaranteed minimum income benefits, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The x-axis in Panel B measures the time of benefit receipt, starting from the first month. The x-axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt. In Panel B and D, previous earnings are assumed to be equal to the average wage.

Figure 1. Selected output from the OECD tax-benefit model

Couple with two children



Source: Calculations based on the OECD tax-benefit model. Average wage used in the presented calculations is ILS 172 609

Annex I: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Israel that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Unemployment benefit for persons in vocational training (דמי אבטלה למשתתף בהכשרה מקצועית)

If an unemployed person participates in vocational training, the amount of the benefit is equivalent to the difference between the payment given to the person during training and the unemployment benefit to which he would have been entitled had he been unemployed. Women born in 1960 or later and aged 57 to 60 will receive 100% of the unemployment benefits during vocational training. The maximum period of payment for a person with less than 12 years of schooling that participates in vocational training is 138 days (if his maximum period according to general rules is less than that).

Unemployment benefit for demobilized soldier (דמי אבטלה לחייל משוחרר)

The minimum daily unemployment benefit for a demobilized soldier is determined on the basis of the wage prior to unemployment and not less 122.78 ILS per day.

Furthermore, a demobilized soldier who works at a job recognised as a preferred/required job (at unsuitable work) may be eligible for a grant at the rate of half the unemployment benefit due to him for a period of 138 days. This benefit can also be paid as a partial grant (subject to certain conditions).

The grant is tax deductible and treated as an income by the Income Tax Authority.

Public housing benefit (ציבורי דיור)

Public housing is an "inventory" of apartments that belongs to the state for the use of those in need. Public housing benefit provides subsidized rental apartments.

The benefit is subject to a "credit system" which ranks eligibility for housing benefit (credit points of entitlement). The inventory of apartments in public housing is very limited, therefore eligibility is restricted to persons who are in a state of economic or functional stress:

- An individual or a family, who do not share rights partial or complete rights to an accommodation - existing or in building process.
- Persons holding a certificate to prove that he/she are lacking an apartment.
- Families:
 - Where both parents have accumulated at least 1400 "credit points".
 - That has 3 or more children.
 - Whose income is less than the maximum amount of social security that a couple with 2 children can receive.

Working to their full earning capacity.

It should be noted that there is an extended waiting period for public housing apartments. During this period a special assistance for rental accommodation is provided.

Hospitalisation grant (מענק אישפוז)

This is a grant given to the hospital due to hospitalisation in connection with giving birth. The grant is based on the number of births (not the number of new-borns). For every premature baby (born with a weight no more than 1750 grams and alive for 4 days or more in a neonatal intensive care unit) the hospital receives a supplement sum (תוספת לזכרונות).

A woman who needs to be hospitalized in connection with giving birth is eligible for the grant if she belongs to one of the following categories:

- An insured woman or a wife of an insured person (even if she gave birth outside Israel);
- An employed or a self-employed woman working in Israel or a wife of an employee or a self-employed person;
- Working in Israel for at least 6 month immediately preceding the birth even if not a resident in Israel (provided she gave birth in Israel).

The above does not apply to a person living in an area or in territories of the autonomy who is not an Israeli resident.

The amount of the grant is set by the regulations and is updated on ad hoc basis. In January 2023, the hospitalization grant per birth was ILS 15691 and the supplement sum for every premature baby was ILS 248975 ILS.

Birth grant (מענק לידה)

This is a grant given to the woman giving birth. Eligibility is the same as for the hospitalization grant. In case of one child being born, the grant is:

- 20% of the basic amount for the birth grant (ILS 9613) for the first child of the family;
- 9% of the basic amount for the second child of the family;
- 6% of the basic amount for the third or any subsequent child of the family.

In case twins are born, the grant is 100% of the basic amount. An additional 50% of the basic amount is paid for every additional child born in the same birth.

Child birth allowance (קצבת לידה)

This is an allowance given due to the birth of 3 or more children in one birth. Eligibility is the same as for the hospitalization grant. On condition that the mother is entitled to the birth grant and that at least 3 children remained alive at the end of the 30th day period following the birth, the allowance is paid for 20 months. It is calculated as a percentage of the basic amount for the birth grant (ILS 9613) and based on the number of new-borns and number of months since birth.

Child saving account

A saving account for each child who receives childcare allowance: ILS 52 is deposited monthly to account in the name of the child. Parents may choose to deposit to the same account additional ILS 55 which are deducted from the childcare allowance. A grant, ILS 275, is paid at age 3 and 12 for girls/13 for boys for those born on 1 January 2017 or later (ILS 550 at age 18 for those born before 1 January 2017). Additional grant is paid at age 21 for those who did not retrieve the money earlier (ILS 550).

Maternity allowance and vacation pay (דמי לידה)

This is an allowance given due to maternity leave. In order to be eligible for this allowance a mother (or a father) should have paid insurance contributions as an employee or self-employed for 10 out of the 14 months or for 15 out of the 22 months (or for 6 out of the 14 months - for mothers only) preceding the determining date¹⁹.

For a father employer's authorization to take the leave is also necessary. Furthermore, the mother must be entitled to maternity leave of at least 14 weeks from the birth, agree waive part of her maternity leave, and return to work not before the end of 6 weeks from the birth (unless she is not able to take care of the child due to her medical condition).

The allowance is 100% of the average daily income (but no more than ILS 48065 times the basic amount for the birth grant) liable for insurance contributions of the entitled person in the three-month preceding the determining date. The allowance is granted for a period of:

- 15 weeks – if insurance contribution were paid for 10 months out of 14 or for 15 months out of the 22 months.
- 8 weeks (for mother only) – if insurance contribution were paid for 6 months out of 14.
- Father's maternity leave is at least 7 consecutive days, and both parents can stay on a joint leave for 7 days

The taxes are paid at the rate of the parallel income amount received from work. National insurance contributions and health insurance contributions are deducted from these benefits.

Risk pregnancy benefit (קצבה לשמירת היריון)

This is a benefit given during the pregnancy for a woman in risk due to her pregnancy. The following eligibility conditions should hold:

- A resident of Israel;
- Employee or self-employed woman;
- Absent from work due to a medical condition endangering the insured woman or her foetus;
- Qualifying period up to determining date for risk pregnancy (insurance contributions were paid for 6 out of the 14 months preceding the first day of cessation of work);
- A period of precautionary rest of at least 30 consecutive days due to risk pregnancy;
- Non-receipt of payment for risk pregnancy from any other source.

For every day of precautionary rest due to risk pregnancy, the lowest of the following amounts is paid:

- A sum equivalent to the basic amount (ILS 9613), divided by 30.
- The insured woman's income in the 3 months preceding the day of her cessation of work, divided by 90.

The taxes are paid at the rate of the parallel income amount received from work. National insurance contributions and health insurance contributions are deducted from these benefits.

¹⁹ The day on which the insured woman ceased working while pregnant.

Payroll taxes

The following payroll taxes exist in Israel:

- Wage tax on the non-profit institutions: the VAT law imposes a 7.5% on the wage-bill on the non-profit sector including Government;
- Wage tax on the financial institutions: the VAT law also imposes a 17.00% tax on the wage-bill of the financial institutions.

Child tax credit – additional details on credit points

The following information refers to the child tax credit described in Section 8.1. In 2012 and again in 2017 and in 2022, the tax credit for younger children was increased as follows:

		Number of credit points per child, by age of the child:								
		0	1	2	3	4	5	6-12	13-17	18
Up to 2011	Mothers	0.5	1	1	1	1	1	1	1	0.5
	Fathers	0	0	0	0	0	0	0	0	0
2012-2016	Mothers	0.5	2	2	2	2	2	1	1	0.5
	Fathers	1	2	2	1	0	0	0	0	0
2017-2021	Mothers	1.5	2.5	2.5	2.5	2.5	2.5	1	1	0.5
	Fathers	1.5	2.5	2.5	2.5	2.5	2.5	0	0	0
Since 2022	Mothers	1.5	2.5	2.5	2.5	2.5	2.5	2	1	0.5
	Fathers	1.5	2.5	2.5	2.5	2.5	2.5	1	0	0

Childcare services: Tuition fees applicable in private facilities (as of September 2020)

infant (3 - 15 months)		toddler (15 months - 3 years (old		Per capita income	Level
Government participation	Participation of parents	Government participation	Participation of parents		
1624	1071	1204	866	0-2,100	3
1381	1314	1034	1036	2,101-2,600	4
1119	1576	827	1243	2,601-3,000	5
1035	1660	769	1301	3,001-3,500	6

771	1924	598	1472	3,501-4,000	7
603	2092	445	1625	4,001-4,400	8
456	2239	338	1732	4,401-4,900	9
351	2344	243	1827	4,901-5,300	10
0	2695	0	2070	5,301-6,000	11
0	2695	0	2070	Above 6,000	12
1724	971	1304	766		14
1824	871	1404	666		15
2090	605	1606	464		1
1985	710	1525	545		2

- Level 1 and 2 are for children referred by the Department of Social Services only!
- Level 13 is designated for women who require work according to a government decision for Gush Katif evacuees.
- Level 14 is intended for families who according to the criteria and the income test are in Level 3 and have 2 children who live in a residence or a symbolized family.
- Level 15 is intended for families who according to the criteria and the income test are in Level 3 and have 3 or more children staying in a residence or a family with a symbol.
- Full monthly cost for the toddler (15 months - 3 years old): ILS 2070
- Full monthly cost for the infant (3 - 15 months): ILS 2695

Childcare services: Tuition fees applicable in family homes (as of September 2020)

infant (3 - 15 months)		toddler (15 months - 3 years old)		Per capita income	Level
Government participation	Participation of parents	Government participation	Participation of parents		
1180	864	1111	853	0-2,100	3
1040	1004	970	994	2,101-2,600	4
869	1175	814	1150	2,601-3,000	5
808	1236	759	1205	3,001-3,500	6
627	1417	587	1377	3,501-4,000	7
477	1567	452	1512	4,001-4,400	8

357	1687	331	1633	4,401-4,900	9
266	1778	251	1713	4,901-5,300	10
0	2044	0	1964	5,301-6,000	11
0	2044	0	1964	6,000 above	12
1280	764	1211	753		13
1380	664	1311	653		14
1520	524	1451	513		15
1446	598	1387	577		1
1180	864	1111	853		2

- Level 1 and 2 are for children referred by the Department of Social Services only!
- Level 13 is designated for women who require work according to a government decision for Gush Katif evacuees.
- Level 14 is intended for families who according to the criteria and the income test are in Level 3 and have 2 children who live in a residence or a symbolized family.
- Level 15 is intended for families who according to the criteria and the income test are in Level 3 and have 3 or more children staying in a residence or a family with a symbol.
- Full monthly cost for the toddler (15 months - 3 years old ILS 1964
- Full monthly cost for the infant (3 - 15 months): ILS 2044